

### 3. Withdrawal of opposition

R. 84(2), second sentence EPC provides that the opposition proceedings may be continued by the EPO of its own motion if the opposition is withdrawn.

#### 3.1. Form and effect of withdrawal on party status

A withdrawal requires an unambiguous statement. An opponent's statement explaining his lack of interest in the fate of the European patent to which his opposition relates cannot be construed as a withdrawal of the opposition (T. 798/93, OJ 1997, 363). A declaration by the opponent that he has decided to "discontinue the opposition" clearly indicates that he wants to cease his opposition and is to be interpreted in the sense that the opposition has been withdrawn (T. 789/89, OJ 1994, 482).

An opponent who withdraws his opposition ceases to be a party to the proceedings (T. 283/02). Where the proceedings continue and there are questions concerning the apportionment of costs, the opponent ceases to be a party with respect to the substantive issues, but remains a party as regards apportionment of costs (T. 789/89, see also the more recent decisions T. 1397/10, T. 2350/10 and T. 2061/11).

It is not possible to request that a withdrawal of an opposition be cancelled. The withdrawal is a procedural declaration by a party which takes effect on receipt by the EPO. An opponent who withdraws his opposition and as a result ceases to be an active party to the proceedings can no longer take procedural steps himself (T. 283/02).

In T. 558/95 the board noted that the main request had been refused by the opposition division before the opposition was withdrawn. The decision concerning this request was thus final; even after the withdrawal of the opposition, it could no longer be reviewed by the department of first instance. The continuation of the proceedings by the EPO of its own motion under R. 60(2), second sentence EPC 1973 (R. 84(2) EPC) therefore applied only to the auxiliary request, which had not been the subject of a final decision.

#### 3.2. Effect of withdrawal on opposition proceedings before the departments of first instance

After withdrawal of an opposition, the opposition proceedings should be continued if they have reached such a stage that they are likely to result in a limitation or revocation of the European patent without further assistance from the opponent and without the opposition division itself having to undertake extensive investigations (T. 197/88, OJ 1989, 412; see also the more recent decision T. 36/11). The continuation of the opposition proceedings under these circumstances follows from the EPO's general duty towards the public not to maintain patents which it is convinced are not legally valid at all or would be legally valid only with the necessary limitations (T. 156/84, OJ 1988, 372; T. 197/88).

In T. 1668/08 the respondent (opponent) withdrew its opposition during the appeal proceedings and was hence no longer a party to those proceedings. The board decided to remit the case to the department of first instance for further prosecution. The board

emphasised that during that further prosecution the opposition division would first need to decide, in accordance with R. 84(2) EPC, whether or not to continue the opposition proceedings of its own motion in view of the withdrawal of the opposition. It warned that its decision to remit should not be taken as indicative of the conclusion to be reached in this respect. See also T. 1223/15, in which the board decided to remit the case to the department of first instance, including first and foremost the question of whether the Office wished to continue the proceedings of its own motion according to R. 84(2) EPC.

In T. 36/11 the board held that an appeal by the patent proprietor against the decision of the opposition division to discontinue opposition proceedings after the withdrawal of the opposition was inadmissible because the patent proprietor had not been adversely affected by that decision.

In T. 228/14 the opposition was withdrawn after the opposition division had delivered its decision in oral proceedings to revoke the patent. The board held that if the opposition proceedings had been terminated after the decision had been set aside, the patent would have stood as granted. But the proprietor had requested maintenance of the patent in amended form and thus no longer approved of the text of the patent as granted. The board stated that a decision to terminate the opposition proceedings would be contrary to the principle of party disposition as codified in Art. 113(2) EPC 1973.

In T. 1860/13 the opponents withdrew their oppositions during opposition proceedings. The board held that the opponents thereby renounced their positions as parties to the proceedings and, accordingly, any active role in them. The fact that the opposition division continued ex officio with the examination of the oppositions did not affect this. Opponent III's submissions on appeal, filed after the appellant's (patent proprietor's) statement of grounds, were, therefore, regarded as third-party observations under Art. 115 EPC.

### 3.3. Effect of withdrawal on opposition appeal proceedings

The discretionary nature of an opposition division's decision whether or not to continue the proceedings pursuant to R. 84(2) EPC has to be distinguished from the much more narrow framework within which the boards of appeal decide on the effect of a withdrawal of an opposition. The effect of a withdrawal on the opposition appeal proceedings depends on whether or not the opponent is the sole appellant.

In G. 8/93 (OJ 1994, 887) the Enlarged Board held that if the **opponent as sole appellant** filed a statement withdrawing his opposition, this could only be regarded as a withdrawal of the appeal which immediately and automatically terminated the appeal proceedings as far as all substantive issues were concerned (G. 7/91, G. 8/91, OJ 1993, 356 and 346 and 478). This was irrespective of the patentee's consent. The proceedings were terminated even if in the board's view the requirements under the EPC for maintaining the patent were not met. The Enlarged Board emphasised the distinction between the power to initiate and continue proceedings and the power to clarify the facts in pending proceedings. According to its case law, in appeal proceedings the former was **exclusively** the province of the appellant, whereas the latter might be exercised by the board subject to Art. 114 EPC 1973 provided proceedings were pending.

In contrast, according to established case law the withdrawal of an opposition has no direct procedural consequences for the appeal proceedings if the opponent was the **respondent** and the contested patent was revoked by the contested decision (**T 629/90**, OJ 1992, 654; followed by numerous other decisions, including **T 789/89**, OJ 1994, 482, **T 194/90** and **T 627/92**, as well as, more recently, **T 46/10**, **T 727/10**, **T 2061/11**, **T 1216/12**, **T 289/16**). In such cases, the board must carry out a substantive examination of the opposition division's decision, and can only set aside this decision and reject the opposition if the grounds for opposition do not prejudice the maintenance of the granted patent. The board's examination can include the examination of evidence submitted by the respondent prior to the withdrawal of the opposition (**T 629/90**, OJ 1992, 654; see also **T 900/03**, **T 340/05**, **T 46/10**, **T 727/10**, **T 817/12**). According to **T 46/10**, the board can also consider any arguments the respondent (opponent) submitted before the withdrawal (see also **T 1657/14**).

The opposition appeal proceedings are also continued if both the patent proprietor and the opponent have appealed but the opponent withdraws his opposition in the course of the appeal proceedings. The effect of the withdrawal of the opposition is that the appeal is regarded as withdrawn and the opponent ceases to be a party to the appeal proceedings as regards the substantive issues (**T 922/01**, **T 1346/10**).

**R. Apportionment of costs**

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**1. Principle that each party must bear its own costs**

Under Art. 104(1) EPC, each party to opposition proceedings must, as a rule, meet the costs it has incurred. However, the opposition division or board of appeal may, for reasons of equity, order a different apportionment of the costs incurred during taking of evidence or in oral proceedings. At the appeal stage Art. 16(1) RPBA 2020 also applies, allowing the board, subject to Art. 104(1) EPC, to order a different apportionment. It lists typical cases where costs arise as a result of: (a) amendments to a party's appeal case pursuant to Art. 13 RPBA 2020; (b) extension of a period; (c) acts or omissions prejudicing the timely and efficient conduct of oral proceedings; (d) failure to comply with a direction of the board; or (e) abuse of procedure.

In T.133/06 the board added that Art. 104 EPC belonged to the procedural provisions and so was subject to the general principle of law that a new procedural law was immediately applicable but had no retrospective effect unless otherwise provided. Hence when deciding whether the new Art. 104 EPC is applicable in appeal proceedings initiated under EPC 1973, the board must take into consideration not only the fact that, according to the transitional provisions (see decision of the Administrative Council 28 June 2001, OJ SE 1/2007, 197), the new Art. 104 EPC is applicable to granted patents, but also the date of the event which gives rise to the application of this article. This is the only way to give the new procedural provision an immediate application without giving it a retrospective effect.

According to the boards, the phrase "taking of evidence" used in Art. 104(1) EPC 1973 – but no longer used in Art. 104 EPC – refers generally to the receiving of evidence by an opposition division or a board of appeal (T.117/86, OJ 1989, 401; T.101/87, T.416/87, T.323/89, OJ 1992, 169; T.596/89 and T.719/93, referring to Art. 117 EPC 1973).

In T.66/18 the board held that Art. 104(1) EPC applied only to adversarial proceedings such as opposition proceedings. An alleged abuse during examination, i.e. before and not during opposition proceedings, did not fall within the scope of Art. 104(1) EPC. It further observed that the possibility of apportioning costs was treated in the case law not as a means of imposing a fine but rather as a way of granting at least partial compensation for conduct during opposition proceedings that fell short of the due level of care.

## 2. Equity of a different apportionment of costs – case groups

There is no definition of equity in the EPC. The boards of appeal therefore had to develop the criteria determining whether costs were to be apportioned on a case-by-case basis. In a number of decisions it has generally been stated that apportionment of costs is justified if the conduct of one party is not in keeping with the care required, that is if costs arise from culpable actions of an irresponsible or even malicious nature (see, for example, T.765/89, T.26/92 and T.432/92).

In T.1714/14 the board held that "reasons of equity" exist when a party's costs arise from culpable actions of another party, or even abusive behaviour. If, however, there was nothing to indicate negligence, wrongdoing, or an abuse of procedure, a different apportionment of costs was not justified.

Requests for a different apportionment of costs are often filed in various scenarios in which costs are incurred for:

- late submission of documents and/or requests (see in this chapter III.R.2.1.);
- acts or omissions prejudicing the timely and efficient conduct of oral proceedings (see in this chapter III.R.2.2.);
- filing of opposition or appeal (see in this chapter III.R.2.3.);